



College of Business and Economics

School of Commerce, Accounting & Finance Program Unit

Bachelor of Arts in Accounting and Finance

Model Exit Exam: Cost and Managerial Accounting- II

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1. Which of the following items is NOT an assumption of CVP analysis?
 - A. Costs may be separated into separate fixed and variable components.
 - B. Total revenues and total costs are linear in relation to output units.
 - C. Unit selling price, unit variable costs, and unit fixed costs are known and remain constant.
 - D. Proportion of different products will remain constant when multiple products are sold.

Ruben intends to sell his customers a special round-trip airline ticket package. He is able to purchase the package from the airline carrier for \$150 each. The round-trip tickets will be sold for \$200 each and the airline intends to reimburse Ruben for any unsold ticket packages. Fixed costs include \$5,000 in advertising costs.

2. What is the contribution margin per ticket package?
 - A. \$50
 - B. \$100
 - C. \$150
 - D. \$200
3. How many ticket packages will Ruben need to sell to break even?
 - A. 34 packages
 - B. 50 packages
 - C. 100 packages
 - D. 150 packages
4. How many ticket packages will Ruben need to sell in order to achieve \$60,000 of operating income?
 - A. 367 packages
 - B. 434 packages
 - C. 1,100 packages
 - D. 1,300 packages
5. For every \$25,000 of ticket packages sold, operating income will increase by:
 - A. \$6,250
 - B. \$12,500
 - C. \$18,750
 - D. an indeterminable amount

Answer the following questions using the information below:

The following information is for Barnett Corporation:

- Product X: Revenue \$10.00 & Variable Cost \$2.50
 - Product Y: Revenue \$15.00 & Variable Cost \$5.00
 - Total fixed costs \$50,000
6. What is the breakeven point assuming the sales mix consists of two units of Product X

and one unit of Product Y?

- A. 1,000 units of Y and 2,000 units of X
 - B. 1,013 units of Y and 2,025 units of X
 - C. 2,013 units of Y and 4,025 units of X
 - D. 2,000 units of Y and 4,000 units of X
7. What is the operating income, assuming actual sales total 150,000 units, and the sales mix is two units of Product X and one unit of Product Y?
- A. \$1,200,000
 - B. \$1,250,000
 - C. \$1,750,000
 - D. None of these answers are correct.
8. If the sales mix shifts to one unit of Product X and two units of Product Y, then the weighted-average contribution margin will:
- A. increase per unit
 - B. stay the same
 - C. decrease per unit
 - D. be indeterminable
9. If the sales mix shifts to one unit of Product X and two units of Product Y, then the breakeven point will:
- A. increase
 - B. stay the same
 - C. decrease
 - D. be indeterminable
10. A budget should/can do all of the following **EXCEPT**:
- A. be prepared by managers from different functional areas working independently of each other
 - B. be adjusted if new opportunities become available during the year
 - C. help management allocate limited resources
 - D. become the performance standard against which firms can compare the actual results
11. Budgeted production equals:
- A. beginning finished goods inventory + budgeted unit sales - targeted ending finished goods inventory
 - B. targeted ending finished goods inventory + beginning finished goods inventory - budgeted unit sales
 - C. budgeted unit sales + targeted ending finished goods inventory - beginning finished goods inventory
 - D. budgeted unit sales + targeted ending finished goods inventory + beginning finished goods inventory

12. The order to follow when preparing the operating budget is:
- A. revenues budget, production budget, and direct manufacturing labor costs budget**
 - B. costs of goods sold budget, production budget, and cash budget
 - C. revenues budget, manufacturing overhead costs budget, and production budget
 - D. cash expenditures budget, revenues budget, and production budget.
13. Responsibility accounting:
- A. is a system that measures the plans, budgets, actions, and actual results of a responsibility center**
 - B. is an arrangement of lines of responsibility within the organization
 - C. explicitly incorporates continuous improvement anticipated during the budget period
 - D. examines how a result will change if the original plan is not achieved
14. Variances between actual and budgeted amounts can be used to:
- A. alert managers to potential problems and available opportunities
 - B. inform managers about how well the company has implemented its strategies
 - C. signal that company strategies are ineffective
 - D. All of these answers are correct**

Answer the following questions using the information below.

The following information pertains to Hepburn Company:

Month	Sales	Purchases
January	\$60,000	\$32,000
February	\$80,000	\$40,000
March	\$100,000	\$56,000

- Cash is collected from customers in the following manner: Month of sale 30% & Month following the sale 70%;
 - 40% of purchases are paid for in cash in the month of purchase, and the balance is paid the following month.
 - Labor costs are 20% of sales.
 - Other operating costs are \$30,000 per month (including \$8,000 of depreciation). Both of these are paid in the month incurred.
 - The cash balance on March 1 is \$8,000. A minimum cash balance of \$6,000 is required at the end of the month. Money can be borrowed in multiples of \$1,000.
15. How much cash will be collected from customers in March?
- A. \$94,000
 - B. \$86,000
 - C. \$100,000**
 - D. None of these answers are correct.
16. How much cash will be paid to suppliers in March?

- A. \$46,400
 - B. \$56,000
 - C. \$88,000
 - D. None of these answers are correct.
17. How much cash will be disbursed in total in March?
- A. \$42,000
 - B. \$50,000
 - C. \$88,400
 - D. \$96,400
18. What is the ending cash balance for March?
- A. (\$50,000)
 - B. \$6,000
 - C. \$5,600
 - D. \$6,600
19. An unfavorable flexible-budget variance for variable costs may be the result of:
- A. using more input quantities than were budgeted
 - B. paying higher prices for inputs than were budgeted
 - C. selling output at a higher selling price than budgeted
 - D. Both A and B are correct.

Answer the following questions using the information below.

JJ Abrams planned to use \$164 of material per unit but actually used \$160 of material per unit, and planned to make 1,200 units but actually made 1,000 units.

20. The flexible-budget amount is:
- A. \$160,000
 - B. \$164,000
 - C. \$192,000
 - D. \$196,800
21. The flexible-budget variance is:
- A. \$4,000 favorable
 - B. \$28,000 unfavorable
 - C. \$32,800 unfavorable
 - D. \$4,800 favorable
22. The sales-volume variance is:
- A. \$4,000 favorable
 - B. \$28,000 unfavorable
 - C. \$32,800 unfavorable
 - D. \$4,800 favorable
23. Relevant information has all of these characteristics **EXCEPT**:
- A. past costs are irrelevant

- B. all future revenues and expenses are relevant**
 - C. different alternatives can be compared by examining differences in total revenue and expenses
 - D. qualitative factors should be considered
24. One-time-only special orders should only be accepted if:
- A. incremental revenues exceed incremental costs**
 - B. differential revenues exceed variable costs
 - C. incremental revenues exceed fixed costs
 - D. total revenues exceed total costs

Answer the following questions using the information below.

Donald's Engine Company manufactures part TE456 used in several of its engine models. Monthly production costs for 1,000 units are as follows:

- Direct materials..... \$ 20,000
- Direct labor..... 5,000
- Variable overhead costs 15,000
- Fixed overhead costs 10,000
- Total costs..... **\$50,000**

It is estimated that 10% of the fixed overhead costs assigned to TE456 will no longer be incurred if the company purchases TE456 from the outside supplier. Donald's Engine Company has the option of purchasing the part from an outside supplier at \$42.50 per unit.

25. If Donald's Engine Company accepts the offer from the outside supplier, the monthly avoidable costs (costs that will no longer be incurred) total:
- A. \$ 41,000**
 - B. \$ 49,000
 - C. \$ 25,000
 - D. \$50,000
26. If Donald's Engine Company purchases 1,000 TE456 parts from the outside supplier per month, then its monthly operating income will:
- A. increase by \$1,000
 - B. increase by \$40,000
 - C. decrease by \$1,500**
 - D. decrease by \$42,500
27. The maximum price that Donald's Engine Company should be willing to pay the outside supplier is:
- A. \$40 per TE456 part
 - B. \$41 per TE456 part**
 - C. \$49 per TE456 part
 - D. \$50 per TE456 part

28. For make-or-buy decisions, relevant costs include:
- A. direct material costs plus direct labor costs
 - B. incremental costs plus opportunity costs
 - C. differential costs plus fixed costs
 - D. incremental costs plus differential costs
29. Which of the following cost(s) are inventoried when using variable costing?
- A. Direct manufacturing costs
 - B. Variable marketing costs
 - C. Fixed manufacturing costs
 - D. Both (a) and (b)
 - E. None of the above
30. Which of the following cost(s) are inventoried when using absorption costing?
- A. Direct manufacturing costs
 - B. Variable marketing costs
 - C. Fixed manufacturing costs
 - D. Both (a) and (c)
31. Absorption costing is required for all **EXCEPT**
- A. Generally accepted accounting principles
 - B. Determining a competitive selling price
 - C. External reporting to shareholders
 - D. Income tax reporting
32. The contribution-margin format of the income statement
- A. Is used with absorption costing
 - B. Highlights the lump sum of fixed manufacturing costs
 - C. Distinguishes manufacturing costs from nonmanufacturing costs
 - D. Calculates gross margin
33. Using absorption costing, a unit of product includes:
- A. Direct materials, direct labor, and fixed overhead.
 - B. Direct materials, direct labor, and variable overhead.
 - C. Direct materials, direct labor, variable overhead, and fixed overhead.
 - D. Only direct materials and direct labor.
34. A cost that has been incurred but cannot be changed by present or future decisions is called:
- A. Differential cost
 - B. Opportunity cost
 - C. Marginal cost
 - D. Sunk cost
 - E. All of the above
 - F. None of the above

The following information applies to questions below.

Marie's Decorating produces and sells a mantel clock for Br. 100 per unit. In 20x1, 100,000 parts were produced and 80,000 units were sold. Other information for the year includes:

Direct materials	Br. 30.00 per unit
Direct manufacturing labor	Br. 2.00 Per unit
Variable manufacturing costs	Br. 3.00 per unit
Sales commissions	Br. 5.00 Per part
Fixed manufacturing costs	Br. 25.00 per unit
Administrative expenses, all fixed	Br. 15.00 per unit

35. What is the inventoriable cost per unit using variable costing?

- A. Br. 32
- B. Br. 35**
- C. Br. 40
- D. Br. 60

36. What is the inventoriable cost per unit using absorption costing?

- A. Br. 32
- B. Br. 35
- C. Br. 60**
- D. Br. 80

The following information applies to questions below.

Gabe's Auto produces and sells an auto part for Br. 30.00 per unit. In 20x1, 100,000 parts were produced and 75,000 units were sold. Other information for the year includes:

Direct materials	Br. 12.00 per unit
Direct manufacturing labor	Br. 2.25 per unit
Variable manufacturing costs	Br. 0.75 per unit
Sales commissions	Br. 3.00 per part
Fixed manufacturing costs	Br. 375,000 per year
Administrative expenses, all fixed	Br. 135,000 per year

37. What is the inventoriable cost per unit using variable costing?

- A. Br. 14.25
- B. Br. 15.00**
- C. Br. 18.00
- D. Br. 21.75

38. What is the inventoriable cost per unit using absorption costing?

- A. Br. 15.00
- B. Br. 18.00**
- C. Br. 18.75
- D. Br. 21.75

39. An advantage of decentralization is that it:
- A. creates greater responsiveness to local needs
 - B. focuses manager's attention on the organization as a whole
 - C. does not result in a duplication of activities
 - D. reduces the cost of gathering information
40. A transfer-pricing method leads to goal congruence when managers:
- A. always act in their own best interest
 - B. act in their own best interest and the decision is in the long-term best interest of the manager's subunit
 - C. act in their own best interest and the decision is in the long-term best interest of the company
 - D. act in their own best interest and the decision is in the short-term best interest of the company

Answer the following questions using the information given below.

Calculate the Division operating income for the Alpha Shoe Company which manufactures only one type of shoe and has two divisions, the Sole Division, and the Assembly Division. The Sole Division manufactures soles for the Assembly Division, which completes the shoe and sells it to retailers. The Sole Division "sells" soles to the Assembly Division. The market price for the Assembly Division to purchase a pair of soles is \$40. (Ignore changes in inventory.) The fixed costs for the Sole Division are assumed to be the same over the range of 40,000-100,000 units. The fixed costs for the Assembly Division are assumed to be \$14 per pair at 100,000 units.

- Sole's costs per pair of soles are : Direct materials \$8, Direct labor \$6, Variable overhead \$4, Division fixed costs \$2;
 - Assembly's costs per completed pair of shoes are : Direct materials \$12, Direct labor \$4, Variable overhead \$2, Division fixed costs \$14;
41. What is the market-based transfer price per pair of soles from the Sole Division to the Assembly Division?
- A. \$20
 - B. \$32
 - C. \$40
 - D. \$52
42. What is the transfer price per pair of soles from the Sole Division to the Assembly Division if the method used to place a value on each pair of soles is 180% of variable costs?
- A. \$28.80
 - B. \$25.20
 - C. \$32.40
 - D. \$57.60
43. What is the transfer price per pair of shoes from the Sole Division to the Assembly

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Division per pair of soles if the transfer price per pair of soles is 125% of full costs?

- A. \$20
- B. \$25
- C. \$26
- D. \$30

44. Which of the following statements about activity-based costing is **NOT true**?

- A. Activity-based costing is useful for allocating marketing and distribution costs.
- B. Activity-based costing is more likely to result in major differences from traditional costing systems if the firm manufactures only one product rather than multiple products.
- C. Activity-based costing seeks to distinguish batch-level, product-sustaining, and facility-sustaining costs, especially when they are not proportionate to one another.
- D. Activity-based costing differs from traditional costing systems in that products are not cross subsidized.

Answer the following questions using the information below.

Mertens Company provides the following ABC costing information

Activities	Total Costs	Activity-cost drivers
Account inquiry hours	\$200,000	10,000 hours
Account billing lines	\$140,000	4,000,000 lines
Account verification accounts	\$75,000	40,000 accounts
Correspondence letters	\$ 25,000	4,000 letters
Total costs	\$440,000	

The above activities are used by Departments A and B as follows:

	Department A	Department B
Account inquiry hours	2,000 hours	4,000 hours
Account billing lines	400,000 lines	200,000 lines
Account verification accounts	10,000 accounts	8,000 accounts
Correspondence letters	1,000 letters	1,600 letters

45. How much of the account inquiry cost will be assigned to Department A?

- A. \$40,000
- B. \$200,000
- C. \$80,000
- D. None of these answers are correct.

46. How much of the account billing cost will be assigned to Department B?

- A. \$14,000
- B. \$140,000
- C. \$7,000
- D. None of these answers are correct.

47. How much of account verification costs will be assigned to Department A?

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- A. \$15,000
 - B. \$18,750**
 - C. \$75,000
 - D. \$5,000
48. How much of correspondence costs will be assigned to Department B?
- A. \$800
 - B. \$6,250
 - C. \$25,000
 - D. \$10,000**
49. How much of the total costs will be assigned to Department A?
- A. \$79,000**
 - B. \$40,000
 - C. \$112,000
 - D. \$440,000
50. How much of the total costs will be assigned to Department B?
- A. \$79,000
 - B. \$40,000
 - C. \$112,000**
 - D. \$440,000

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